

Support and Resistance

Charting the support and resistance lines of an asset's price movement over time is a tried and tested tool for technical analysis. [Figure 13.22](#) shows bitcoin's price movement through the year 2015, a period where it oscillated within a predictable *trading range*. In [Figure 13.22](#) the top line is called the resistance line, indicating a price that bitcoin is having trouble breaking through. Often these lines can be numbers of psychological weight, in this case the \$300 mark. When the price of bitcoin hits \$300 it shows a tendency to bounce back into its trading range. On the flip side of resistance is support, which shows a price that bitcoin doesn't want to violate, in this case \$200. Each time bitcoin nears the support line it bounces back into its trading range, and the one time that it breaks through this support it quickly climbs above it again.

Note that while this range can be a helpful guide, an asset doesn't always remain range-bound. For example, at the end of the depicted range the price seems to be breaking out to potentially form a new higher price and new trading range. For many technical analysts, such a breakout accompanied by high trading volume is a buy signal as it signifies something notable has happened to push the market to value the asset more richly. Often, previous resistance lines will become support lines if the asset has broken through a resistance line convincingly and stays elevated. Similarly, a prior line of support can become a point of resistance if the asset crashes through its prior support and stays beneath that line.